

Q2FY25 GDP growth was the bottom of the barrel hopefully, one cannot ignore the fact that economic growth seems to be moderating,” she underlines. But she points out that there is a need to boost consumer spending and sentiment as India is largely a consumption-led economy. There has not been any direct boost to consumer spending post Covid, she points out.

Rumki Majumdar, Economist at Deloitte India, says the agency expects a stronger FY26, with GDP growth ranging from 6.7% to 7.3%. “Risks are to the upside as we expect some policy certainties around trade and investment in the West after six to seven months into the year,” she points out.

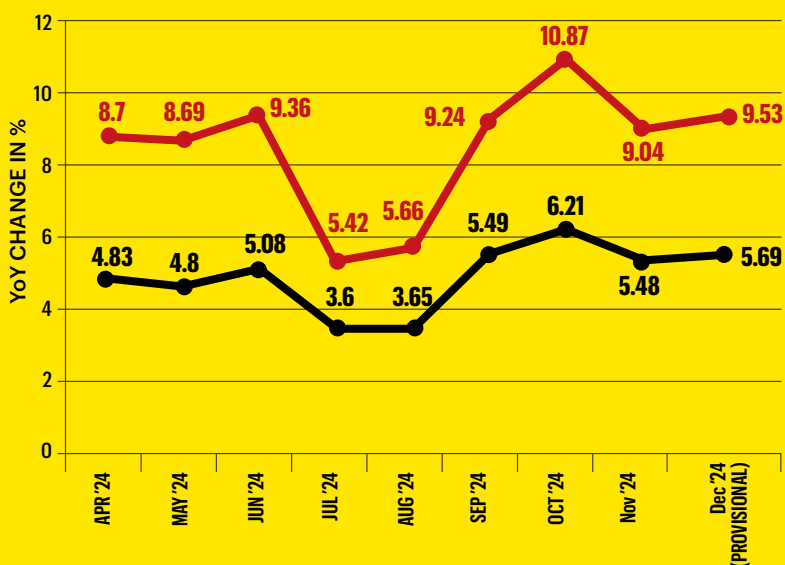
India's services sector and exports have done exceptionally well amid uncertainties and Majumdar believes that given its significance to overall GDP and urban income and employment, robust performance in this sector will likely help lift urban demand and boost urban consumption. “Strong agricultural output will sustain rural demand that has been doing well over the past two quarters,” she says.

High frequency indicators have shown a mixed picture in recent months and the festive season failed to spark sales. Commentary by companies has also reflected a more subdued consumer experience and the middle class has been calling out for relief on taxation.

Private final consumption expenditure is seen to be the silver lining and is estimated to grow by 7.3% in FY25 from 4% in FY24, per the First Advance Estimates, with good rains boosting rural sentiment and demand. While private consumption growth has improved from the previous quarters, it is yet to see all-round improve-

PRICE PRESSURES

- Food inflation has remained the main driver of retail inflation
- The RBI estimates CPI inflation to average 4.8% in FY25



■ CPI INFLATION ■ CONSUMER FOOD PRICE INDEX (CFPI)
SOURCE DBIE

ment and moderating urban consumption demand is seen to be the next challenge. (See charts).

Madan Sabnavis, Chief Economist at Bank of Baroda, however, is more optimistic and believes that the economy is fairly well-placed for growth in FY26 and would in

all probability grow well above 7%. “Our optimism for FY26 stems from the fact that we believe that the two challenges to the economy this fiscal—of consumption and investment—will be reversed assuming there is a normal monsoon. This will also help inflation



“Strong agricultural output will sustain rural demand that has been doing well over the past two quarters”

RUMKI MAJUMDAR
ECONOMIST, DELOITTE INDIA